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TENTATIVE RULING

Defendants Tilray Brands, Inc.; Serruya Private Equity, Inc.; Superhero Acquisition Corp.; Superhero Acquisition L.P.; Irwin Simon; Michael Serruya; and Denise Faltischek's Motion to Quash Service for Lack of Personal Jurisdiction or, Alternatively, to Dismiss on the Ground of Inconvenient Forum is DENIED.

Defendants Tilray Brands, Inc.; Serruya Private Equity, Inc.; Superhero Acquisition Corp.; Superhero Acquisition L.P.; Irwin Simon; Michael Serruya; and Denise Faltischek to give notice.

The complaint alleges that Defendant Tilray Brands, Inc. is a Delaware corporation headquartered in Ontario, Canada, with its principal place of business in New York City (Compl. ¶ 13); Defendant Serruya Private Equity, Inc. is headquartered and organized in Ontario, Canada (Compl. ¶ 14); Defendant Superhero Acquisition Corp. is a Delaware corporation headquartered in Ontario, Canada, with its principal place of business in the same location (Compl. ¶ 16); Defendant Superhero Acquisition L.P. is a Delaware limited partnership with its principal place of business in Ontario, Canada (Compl. ¶ 15); Defendant Irwin Simon is a New York resident (Compl. ¶ 18); Defendant Michael Serruya; and Defendant Denise Faltischek is a New York resident (Compl. ¶ 19). Plaintiff does not dispute any of these facts. Instead, it argues that Defendants purposefully availed themselves of the benefits of California.

As to Defendant Superhero Acquisition L.P., Plaintiff argues that its contacts include the acquisition of a senior-lender position in a debt facility under which MME, a California-headquartered corporation, and MMCAN, a California corporation, were the "Initial Borrower[s]," and Plaintiff argues that Superhero L.P. was formed to facilitate Tilray's acquisition of interests in secured convertible notes issued by MME and MMCAN. (Mot., Simon Decl. ¶ 6; Faltischek Decl. ¶ 6; Serruya Decl. ¶¶ 7, 9.) Superhero L.P. purposefully affiliated itself with California by acquiring senior creditor rights against MMCAN, a California corporation, under a debt structure whose value and repayment prospects depended on MedMen's California-centered business. As to Defendant Superhero Acquisition Corp., Plaintiff argues that it was granted rights in certain collateral documents (Mot., Serruya Decl., Ex. E), and 90 percent of the pledged shares were for California-incorporated entities (ibid.), such that its enforcement rights were not theoretical. As to Defendant Serruya Private Equity, Inc., Plaintiff argues that it made a \$100 million equity investment (Mot., Serruya Decl. ¶ 10), and it depended on a California-centered business and California's unique cannabis regulatory scheme. As to Defendant Michael Serruya, Plaintiff argues that Serruya acted for several entities and personally implemented the California-facing structure, and he had authority to act for MMCAN. (Mot., Serruya Decl. ¶¶ 1, 6-12.) As to Defendants Tilray Brands, Inc., Irwin Simon, and Denise Faltischek, Plaintiff argues that Tilray pursued its investment because MedMen was a California-centered cannabis business, and it had participation and information rights, with its CEO, Irwin Simon, and its chief strategy officer, Denise Faltischek, as board observers. (Mot., Simon Decl. ¶¶ 8-10; Faltischek Decl. ¶¶ 8-10.) Simon and Faltischek also personally negotiated, accepted, and exercised Tilray's California-directed rights. (Mot., Simon Decl. ¶¶ 4-6, Faltischek Decl. ¶¶ 1, 4-6.)

As to whether the claims arise out of Defendants' contacts with California, Plaintiff argues that Defendants became fiduciaries with control over MedMen (Compl. ¶¶ 50-52, 73), and Defendants used the rights and relationship for their benefit (Compl. ¶¶ 50-51, 56-57, 73-90). Further, Plaintiff argues that Defendants cannot show any undue burden because Defendants deliberately affiliated themselves with a California-centered business. As to whether forum non conveniens factors support a finding that California is not a proper forum for this action, "[f]orum non conveniens is an equitable doctrine invoking the discretionary power of a court to decline to exercise the jurisdiction it has over a transitory cause of action when it believes that the action may be more appropriately and justly tried elsewhere." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 751 (Stangvik).) Pursuant to Code of Civil Procedure section 410.30, subdivision (a), "When a court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just." Code of Civil Procedure section 418.10, subdivision (a)(2), also provides that "[a] defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion . . . [t]o stay or dismiss the action on the ground of inconvenient forum."

In determining whether to grant a motion based on forum non conveniens, a court must first determine whether the alternate forum is a suitable place for trial. If it is, the next step is to consider the private interests of the litigants and the interests of the public in retaining the action for trial in California. (Stangvik, supra, 54 Cal.3d at p. 751.) "The private interest factors are those that make trial and the enforceability of the ensuing judgment expeditious and relatively inexpensive," including (1) "the ease of access to sources of proof," (2) the cost of obtaining attendance of witnesses," and (3) the availability of compulsory process for attendance of unwilling witnesses." (Ibid.) "The public interest factors include" (1) "avoidance of overburdening local courts with congested calendars," (2) "protecting the interests of potential jurors so that they are not called upon to decide cases in which the local community has little concern," and (3) "weighing the competing interests of California and the alternate jurisdiction in the litigation." (Ibid.)

The moving party bears the burden of proof on a motion for forum non conveniens. (Stangvik, supra, 54 Cal.3d at p. 751.) While a California resident plaintiff enjoys a "strong presumption" in favor of plaintiff's choice of forum, a nonresident plaintiff's choice of forum is entitled to "due deference" under all circumstances but not a "strong presumption" of appropriateness. (See National Football League v. Fireman's Fund Insurance Co. (2013) 216 Cal.App.4th 902, 924-930.) Plaintiff argues that its claims arise from actions which significantly affected California businesses, employees, customers, and cannabis operations; the relevant records and witnesses are not confined to New York; to the extent that depositions are necessary for New York witnesses, Plaintiff is prepared either to take them in person in New York or to take them by remote video, so witness convenience is not an issue; witnesses may appear at trial by remote technology.

The Court finds no basis to conclude that dismissal of this action is proper for lack of personal jurisdiction or because the forum is inconvenient. Accordingly, Defendants Tilray Brands, Inc.; Serruya Private Equity, Inc.; Superhero Acquisition Corp.; Superhero Acquisition L.P.; Irwin Simon; Michael Serruya; and Denise Faltischek's Motion to Quash Service for Lack of Personal Jurisdiction or, Alternatively, to Dismiss on the Ground of Inconvenient Forum is DENIED.